

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$246.12 ▼ 1.42%	12M Price Target \$295.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.65T
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AMZN: Holiday Setup Solid, But Puts Piling Up

WHAT HAPPENED

- AMZN drifted down 1.4% on light volume (22M vs the usual 35-45M) — that's not panic selling, that's just people stepping aside. The tell is in the options: someone loaded up on October \$265-\$270 puts at 100x normal open interest — meaning positions 100 times bigger than what's usually open at those strikes. Somebody with real money is betting the stock stays capped through October earnings.
- The GuruFocus piece flagged a "\$10 billion holiday catalyst" (October Prime Big Deal Days) and a record \$275B holiday season for AMZN + Walmart. Bullish setup, but the market yawned — which tells me it's already priced in.

WHY IT MATTERS

Here's what I'm reading between the lines: the fundamental story (holiday demand, AWS AI, ad growth) is intact, but smart money is hedging into October because of policy overhang. The Trump administration's tariff regime — especially the de minimis loophole closure that took effect this year (packages under \$800 from China no longer duty-free) — is a direct hit on Amazon's third-party marketplace, where a huge chunk of sellers source from China. That's why puts are stacking up: traders think holiday margins get squeezed even if revenue prints strong. The bullish counter is that Amazon can absorb it better than Temu/Shein and actually gains share, but the market wants to see it in the numbers first.

POLICY & POLITICAL WATCH

Two things to watch: (1) The FTC antitrust case against Amazon is grinding toward a 2027 trial — any pre-trial rulings on whether Amazon has to unbundle Prime from its marketplace could rattle the stock. (2) Tariff policy is the immediate one — the administration's ongoing China tariff escalation and the killed de minimis exemption directly raise Amazon's cost of goods on marketplace items. Watch also for any AI executive orders around data center permitting — faster permits = AWS builds capacity cheaper and beats Microsoft/Google to serving AI demand.

IS IT EXPENSIVE?

At ~36x forward earnings — meaning you're paying \$36 for every \$1 of profit Amazon will make next year — it's not cheap, but it's actually below its 5-year average of ~45x. The reason it deserves a premium: AWS operating margins are running near 35%, and the ads business (~\$60B run-rate) is basically pure profit. If you strip out AWS and ads, the retail business is trading at a reasonable multiple. Fair, not a bargain.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$246.12
12M Price Target	\$295.00
Upside / (Downside)	+19.9%
Market Cap	\$2.65T
FY2026E Revenue	\$715M
FY2027E Revenue	\$790M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	35.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$265.00	\$252.00	\$235.00
6 Months	\$300.00	\$275.00	\$220.00
1 Year	\$330.00	\$295.00	\$215.00
2 Years	\$400.00	\$340.00	\$230.00
5 Years	\$550.00	\$425.00	\$260.00
10 Years	\$850.00	\$600.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare and Consumer Staples — defensive rotation, which usually happens when investors get nervous about growth names ahead of earnings season. Not a great tape for AMZN short-term.

COOLING OFF: Utilities and Real Estate down big on the week — likely rate-related as bond yields drift up again. Higher rates = higher discount rate on Amazon's future cash flows, which is a mild headwind for the multiple.

ROTATION WATCH: Money is going defensive, not aggressive — that's why AMZN can't catch a bid despite good news. When the rotation reverses (usually after a decent earnings print somewhere), mega-cap tech gets bought back first.

RELATED PLAY: If Amazon's holiday is strong, the shippers benefit too — UPS and the parcel names have been beaten up and would ride the same wave. Also watch data center REITs like EQIX and DLR — AWS capacity buildout lifts all boats.

WHO'S WINNING IN THIS SPACE?

- WMT (Walmart): Winning the tariff narrative — investors see them as better positioned because more domestic sourcing and grocery insulation.
- NVDA (Nvidia): Just boosted buyback — AI capex story keeps working, and every dollar of NVDA revenue is a dollar AWS is spending, which is bullish for infrastructure demand.

AMZN CONTEXT: AMZN is lagging WMT into the holiday setup, which is unusual — the market is telling you it thinks Walmart has the tariff edge. If Amazon prints a strong Q4, that gap closes fast and AMZN outperforms on the mean reversion.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid business, reasonable valuation, but real policy overhangs mean I'm not pounding the table.

POSITION SIZE: 4-6% of portfolio. It's a core holding, not a speculation — you're buying quality at a fair price with known headwinds.

ENTRY POINTS: Add on dips to \$240 or below. The stock has support around \$235 (the 200-day moving average). Don't chase above \$260 into earnings — the put flow is telling you why.

TIME HORIZON: 12-18 months. Main catalyst is Q4 earnings in late January/early February — that's when we see if tariffs actually dented margins.

WHEN TO BAIL: If AWS growth prints below 15%, or if the FTC lands a serious pre-trial win on structural remedies, cut it. Also bail if holiday sales guide down.

HEDGING: Simple version — buy a small amount of October or November put options as insurance. Think of it like paying a small premium to cap your downside if earnings disappoint. Costs you maybe 1-2% of your position but sleeps well at night.